

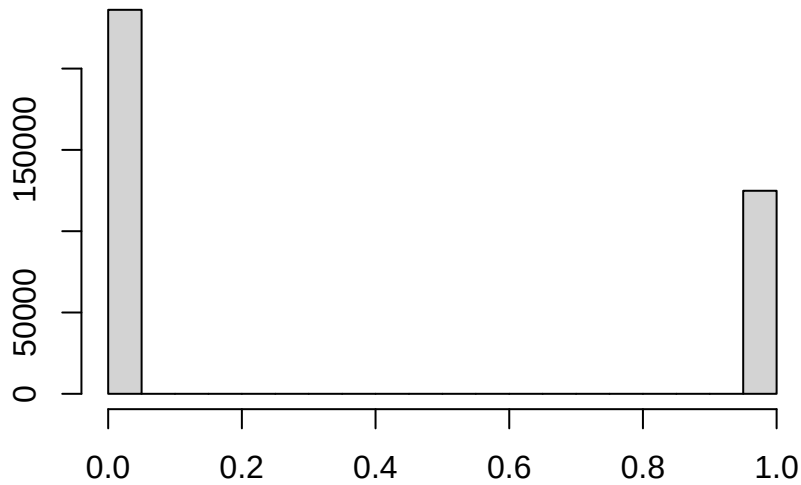
Competition – Contractor Experience

2024-06-03

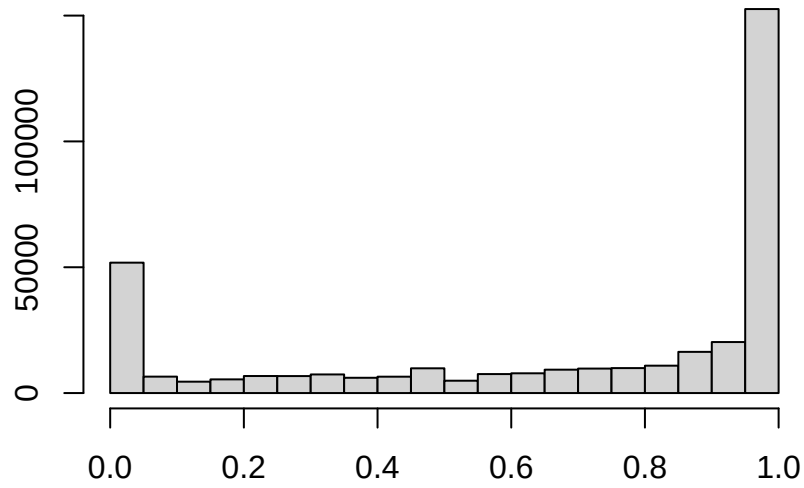
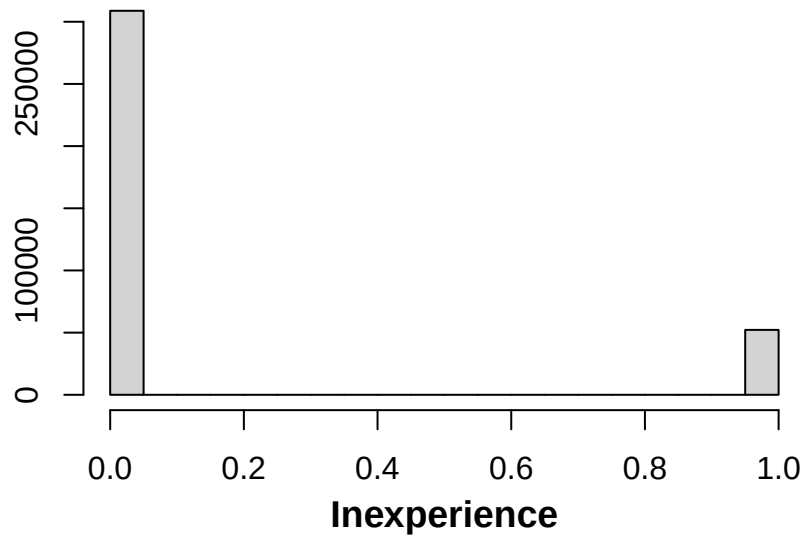
1 Time Invariant Status

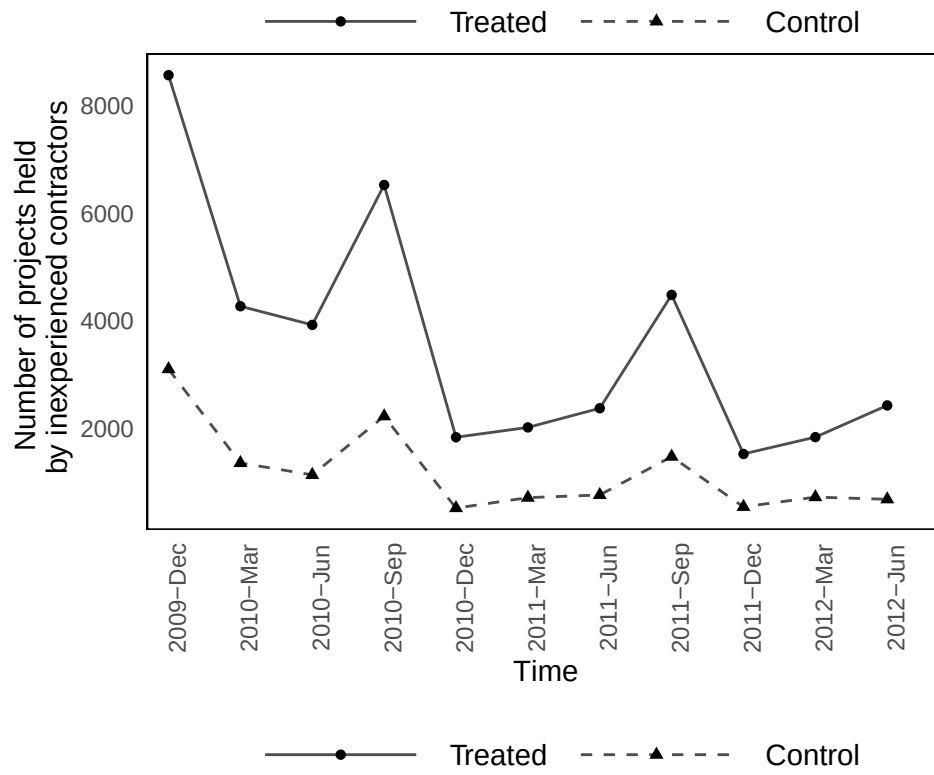
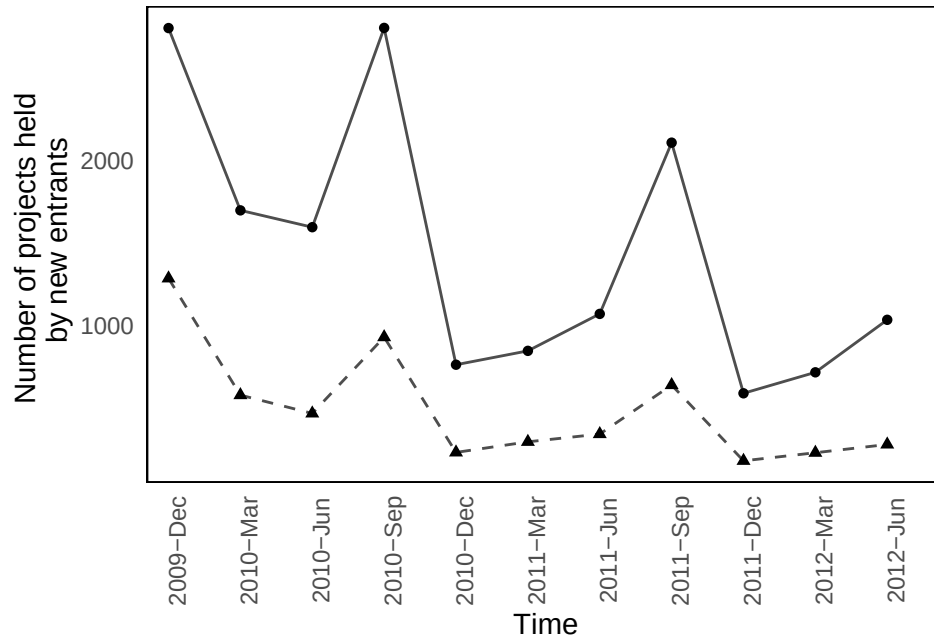
- Let n_i^{task} = Number of projects of the same task held by the contractor in the three quarters before starting project i
- Let n_i = Number of projects held by the contractor in the three quarters before starting project i
- Define:
 - Inexperienced contractor $_i$ = 1 if $n_i^{task} = 0$
 - New entrant $_i$ = 1 if $n_i = 0$
 - Level of inexperience $_i$ = $1 - \frac{n_i^{task}}{n_i}$ if $n_i > 0$
 - Level of inexperience $_i$ = 1 if $n_{i,k,t} = 0$.

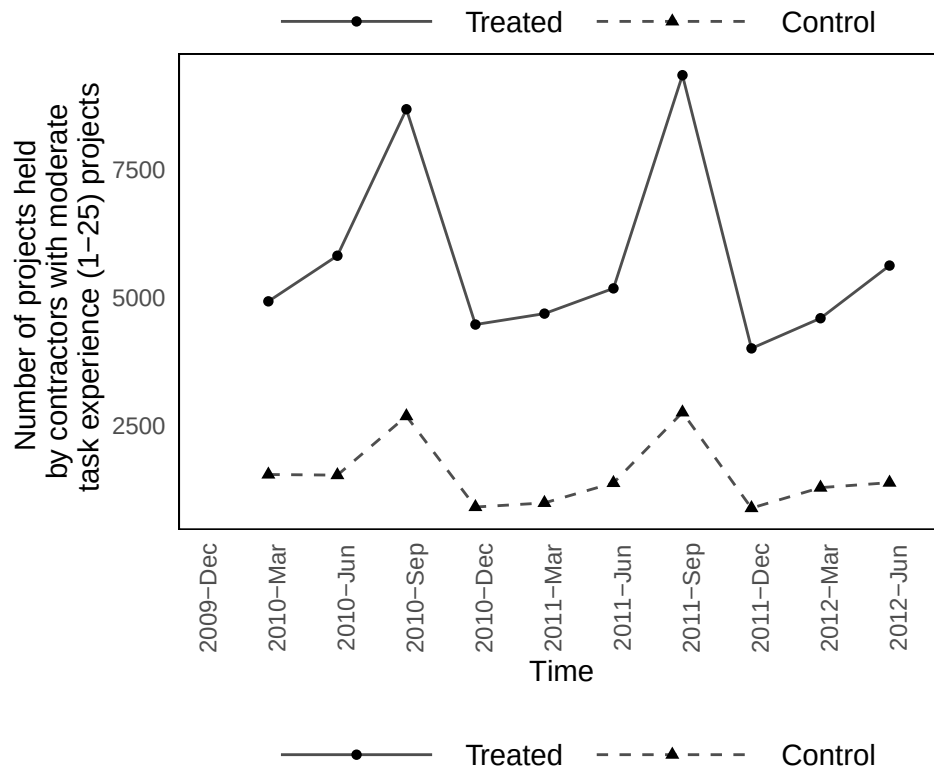
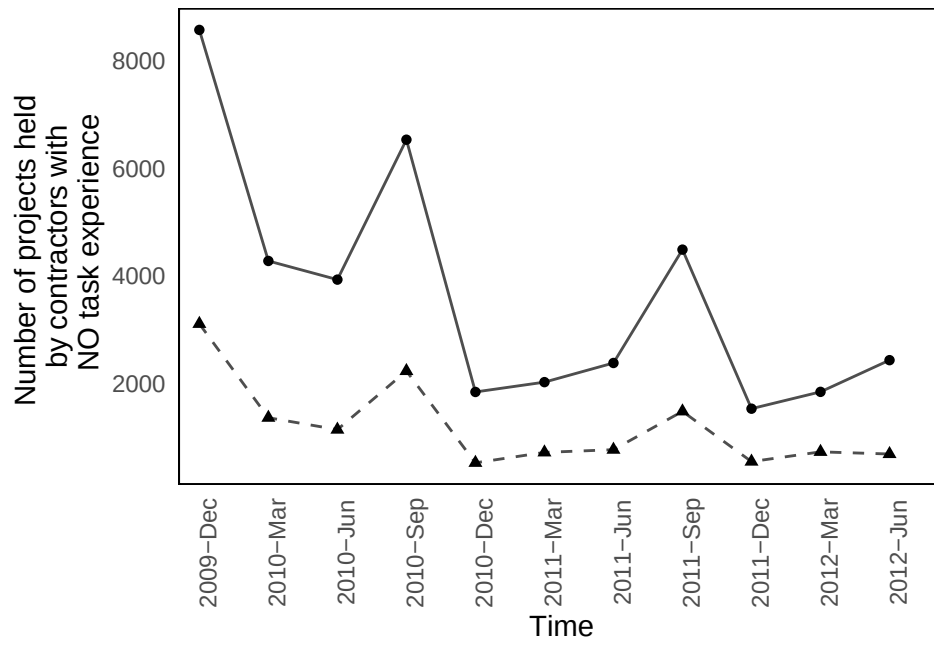
Task inexperience

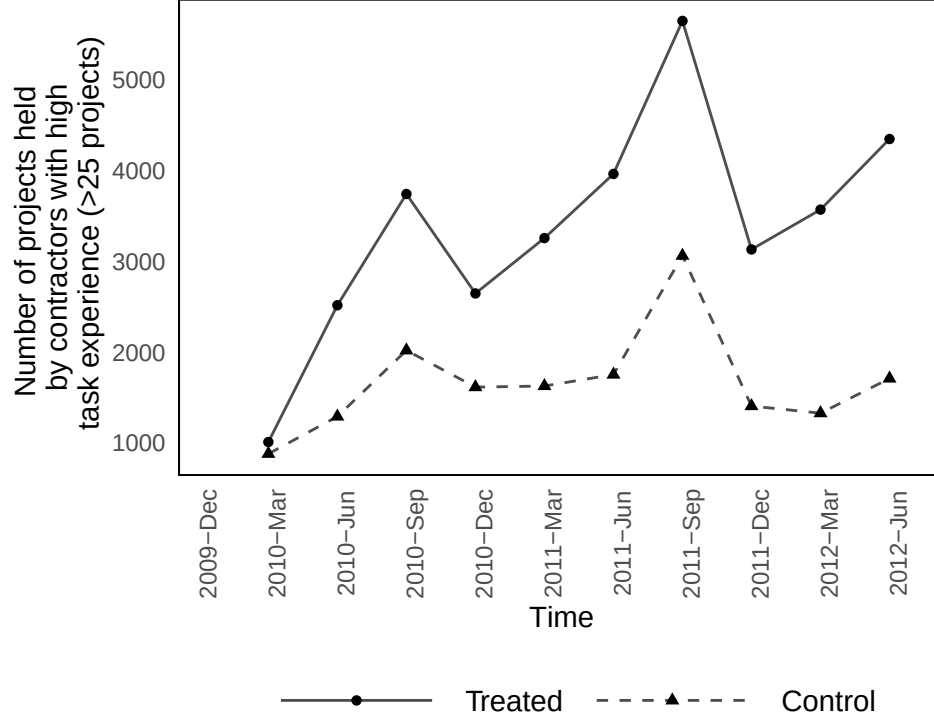


New Entrant









2 Regression results

Table 1: Logit model

	Inexperienced contractor			
	I	II	III	IV
Constant	0.181*** (0.023)			
Treat	0.066*** (0.024)	0.088*** (0.025)	0.262*** (0.034)	0.225*** (0.035)
Ln(Stage)	0.140*** (0.005)	0.180*** (0.005)	0.241*** (0.006)	0.243*** (0.006)
Post	-0.771*** (0.022)			
Treat × Post	-0.064** (0.026)	-0.081*** (0.026)	0.048 (0.031)	0.069** (0.031)
Time FE	No	Yes	Yes	Yes
Task FE	No	No	Yes	Yes
Industry FE	No	No	No	Yes
Observations	184,976	178,669	175,095	175,078
Squared Correlation	0.04	0.04	0.25	0.27
Pseudo R ²	0.03	0.03	0.21	0.22
BIC	240,067.46	228,585.31	187,362.22	185,863.22

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

	Percentage delay rate			
	I	II	III	IV
Constant	9.934*** (0.161)			
Treat	-2.423*** (0.164)	-2.441*** (0.164)	-0.367** (0.163)	-0.419*** (0.162)
Inexperienced contractor	-0.204 (0.210)	-0.121 (0.211)	-0.411** (0.200)	-0.418** (0.200)
Ln(Stage)	2.829*** (0.030)	2.870*** (0.031)	2.770*** (0.030)	2.748*** (0.030)
Post	-0.955*** (0.173)			
Treat $\times$ Inexperienced contractor	0.958*** (0.239)	0.953*** (0.239)	-0.264 (0.224)	-0.197 (0.224)
Inexperienced contractor $\times$ Post	0.725*** (0.269)	0.655** (0.270)	0.045 (0.262)	0.003 (0.261)
Treat $\times$ Post	0.967*** (0.196)	0.992*** (0.196)	0.636*** (0.185)	0.636*** (0.185)
Treat $\times$ Inexperienced contractor $\times$ Post	-0.475 (0.312)	-0.479 (0.312)	-0.242 (0.301)	-0.206 (0.301)
Time FE	No	Yes	Yes	Yes
Task FE	No	No	Yes	Yes
Industry FE	No	No	No	Yes
Observations	184,882	184,882	184,882	184,882
R ²	0.06	0.06	0.12	0.12
Within R ²		0.06	0.05	0.05

Clustered (Project ID) standard-errors in parentheses

Signif. Codes: ***: 0.01, **: 0.05, *: 0.1

Table 2: Logit model

	New Entrant			
	I	II	III	IV
Constant	-1.164*** (0.030)			
Treat	-0.053 (0.032)	-0.048 (0.033)	0.297*** (0.043)	0.304*** (0.044)
Ln(Stage)	0.114*** (0.007)	0.133*** (0.007)	0.149*** (0.008)	0.149*** (0.008)
Post	-0.520*** (0.029)			
Treat $\times$ Post	0.120*** (0.034)	0.118*** (0.034)	0.158*** (0.038)	0.174*** (0.038)
Time FE	No	Yes	Yes	Yes
Task FE	No	No	Yes	Yes
Industry FE	No	No	No	Yes
Observations	184,976	184,976	182,001	181,977
Squared Correlation	0.01	0.02	0.18	0.19
Pseudo R ²	0.01	0.02	0.18	0.20
BIC	165,117.57	163,976.91	141,579.17	140,278.91

Clustered (Project ID) standard-errors in parentheses

Signif. Codes: ***: 0.01, **: 0.05, *: 0.1

	Percentage delay rate			
	I	II	III	IV
Constant	9.929*** (0.136)			
Treat	-2.244*** (0.132)	-2.257*** (0.132)	-0.558*** (0.136)	-0.575*** (0.136)
New Entrant	-0.369 (0.265)	-0.336 (0.265)	-0.042 (0.256)	-0.036 (0.257)
Ln(Stage)	2.840*** (0.030)	2.885*** (0.031)	2.746*** (0.030)	2.725*** (0.030)
Post	-0.880*** (0.144)			
Treat $\times$ New Entrant	1.509*** (0.307)	1.483*** (0.306)	0.102 (0.294)	0.133 (0.295)
New Entrant $\times$ Post	1.166*** (0.355)	1.136*** (0.355)	0.269 (0.346)	0.211 (0.346)
Treat $\times$ Post	0.886*** (0.164)	0.904*** (0.164)	0.699*** (0.157)	0.690*** (0.157)
Treat $\times$ New Entrant $\times$ Post	-1.172*** (0.415)	-1.151*** (0.414)	-0.601 (0.404)	-0.550 (0.404)
Time FE	No	Yes	Yes	Yes
Task FE	No	No	Yes	Yes
Industry FE	No	No	No	Yes
Observations	184,882	184,882	184,882	184,882
R ²	0.06	0.06	0.12	0.12
Within R ²		0.06	0.05	0.05

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

3 Regressions – Continuous variable

	Level of inexperience			
	I	II	III	IV
Constant	0.797*** (0.004)			
Treat	0.029*** (0.004)	0.033*** (0.004)	-0.004 (0.004)	-0.007* (0.004)
Ln(Stage)	0.018*** (0.001)	0.021*** (0.001)	0.025*** (0.001)	0.025*** (0.001)
Post	-0.147*** (0.004)			
Treat $\times$ Post	0.015*** (0.004)	0.012*** (0.004)	0.031*** (0.004)	0.032*** (0.004)
Time FE	No	Yes	Yes	Yes
Task FE	No	No	Yes	Yes
Industry FE	No	No	No	Yes
Observations	184,976	184,976	184,976	184,976
R ²	0.04	0.06	0.27	0.27
Within R ²		0.01	0.01	0.01

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

	Percentage delay rate			
	I	II	III	IV
Constant	11.066*** (0.282)			
Treat	-2.327*** (0.317)	-2.373*** (0.317)	0.222 (0.304)	0.121 (0.303)
Level of inexperience	-1.525*** (0.320)	-1.564*** (0.321)	-0.765** (0.307)	-0.744** (0.306)
Ln(Stage)	2.868*** (0.031)	2.917*** (0.031)	2.771*** (0.030)	2.749*** (0.030)
Post	-1.800*** (0.313)			
Treat $\times$ Level of inexperience	0.540 (0.370)	0.582 (0.370)	-0.938*** (0.349)	-0.833** (0.347)
Level of inexperience $\times$ Post	1.409*** (0.380)	1.460*** (0.381)	0.854** (0.364)	0.773** (0.365)
Treat $\times$ Post	1.582*** (0.367)	1.633*** (0.368)	0.884** (0.346)	0.896*** (0.345)
Treat $\times$ Level of inexperience $\times$ Post	-1.361*** (0.445)	-1.404*** (0.445)	-0.629 (0.423)	-0.623 (0.422)
Time FE	No	Yes	Yes	Yes
Task FE	No	No	Yes	Yes
Industry FE	No	No	No	Yes
Observations	184,882	184,882	184,882	184,882
R ²	0.06	0.06	0.12	0.12
Within R ²		0.06	0.05	0.05

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*